five years, states would be compensated fully if GST revenues fell short of a compounded annual growth of 14 per cent. A mechanism of GST Compensation Cess was devised to cater for any anticipated shortfall in GST revenues to meet the 14 per cent objective.

There was no shortfall in the first two years, 2017–18 and 2018–19. The Centre collected more Compensation Cess than required. In fact, it literally appropriated additional receipts as its revenue in 2018–19 whereas excess funds were to be kept in a GST compensation account in the Public Account of India. The first year of significant shortfall was 2019–20. The Centre did not deliver the due compensation on time and GST compensation was delayed. The shortfall of 2019–20 was finally paid only by July 2020.

In financial year 2020–21, the pandemic created a very difficult situation for both the Centre and states. In the initial months, the Central government anticipated a gross shortfall of about Rs 3 lakh crore in GST revenues and a net shortfall of Rs 2.35 lakh crore (accounting for Compensation Cess receipts of only Rs 65,000 crore). This was a crunch situation and the Centre decided not to honour its commitment to pay full compensation to the states to give them 14 per cent annual compounded growth. The ‘Act of God’ argument was invoked to argue that the situation was beyond the control of the Central government and accordingly the shortfall on account of loss of GST revenue attributable to COVID-19 would not be compensated.

Despite many differences and contentious meetings, the Centre stood its ground. It is borrowing for the shortfall attributable to the non-COVID revenue growth trajectory and passing on the same to states on a back-to-back arrangement. The states have to borrow on their own for the remaining shortfall.

The way the GST compensation issue has been handled illustrates the fiscal domination of the Centre.